

2026F: the year of challenges

Rising cost pressure is likely increasingly negative for the demand and profitability of SP/ EV businesses

Action: maintain Neutral and lower TP to HKD33

Our cautious view on Xiaomi since 3Q25 ([link 1](#), [link 2](#)) is mainly owing to: 1) smartphone (SP) shipments will likely have downside risk amid rising bill of materials (BOM) cost; 2) IoT sales base has been high since 2H24-1H25; and 3) market expectation on the EV business is already high. We remain concerned over Xiaomi's SP and EV businesses in 2026F as both demand and profitability could be weaker than expected. As a result, we lower our TP to HKD33, based on average 2026-27F SOTP-based valuation with lower P/S multiple (refer to [Fig. 4](#)).

SP: shipment could be down by ~20% y-y in 2026F

We previously estimated Xiaomi's SP shipment could decline in single digit y-y in 2026F in late-2025F, but after a couple of months of worsening market conditions, we now think Xiaomi's SP shipments could be down by ~20% y-y if the overall cost pressure does not relieve throughout the year. Based on the current visibility and memory cost, we believe mobile DRAM price would continue to rise in strong double-digits sequentially in the next 1-2 quarters.

EV: margin pressure from lithium price hike; demand uncertainty on policy shift

In the near-term, we believe Xiaomi's EV business is likely to face margin pressure in 1H26F amid surging lithium prices, which constitute more than 10% of total battery costs, where battery contributes ~40-50% of EV production costs. According to Wind, lithium prices have risen sharply to CNY172,620 per tonne in March 2026, marking a 135% growth since 4Q25, driven by supply constraints and robust demand from energy storage sectors. In the mid-term, we expect the uncertain EV demand in China to weigh on Xiaomi's EV sales momentum, which is partly attributable to unfavorable government subsidy policy.

When would be a better time to re-visit the stock?

According to our historical SOTP simulation ([Fig. 4](#)) for Xiaomi vs its stock price, Xiaomi's hardware business recorded a significant de-rating during 2022-23 when the overall market demand in China was weak ([Fig. 4](#)). The same de-rating risk has been emerging again. Thus, we recommend investors to wait for the valuation to reach the low levels recorded in 2022. On the other hand, if Xiaomi can recover its business from 2027F onwards with the potential third wave of new business growth next to SP/IoT (1st wave) in 2020-2021 and EV (2nd wave) in 2024-2025, such as robotics after further likely correction in 2026F, then it could be a better entry point, in our view.

Year-end 31 Dec	FY24	FY25F		FY26F		FY27F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	365,906	480,223	460,403	614,614	518,695	666,609	640,611
Reported net profit (mn)	23,658	44,476	47,641	55,738	43,893	60,391	55,962
Normalised net profit (mn)	23,658	44,476	47,641	55,738	43,893	60,391	55,962
FD normalised EPS	92.77c	1.71	1.77	2.14	1.63	2.32	2.08
FD norm. EPS growth (%)	34.4	84.3	91.3	25.3	-7.9	8.3	27.5
FD normalised P/E (x)	31.0	—	16.2	—	17.6	—	13.8
EV/EBITDA (x)	26.7	—	17.6	—	17.4	—	10.6
Price/book (x)	3.8	—	3.2	—	2.7	—	2.2
Dividend yield (%)	—	—	—	—	—	—	—
ROE (%)	13.4	21.1	22.4	21.4	17.0	18.9	18.2
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash	net cash	net cash

Source: Company data, Nomura estimates

Rating Remains **Neutral**

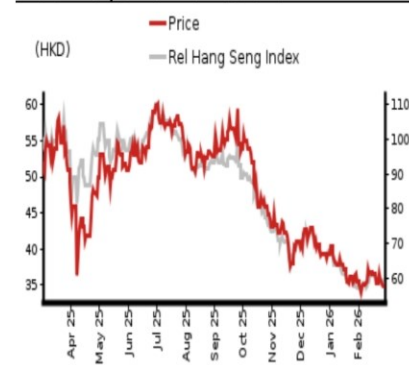
Target price Reduced from HKD 61.00 **HKD 33.00**

Closing price 2 March 2026 **HKD 33.14**

Implied upside **-0.4%**

Market Cap (USD mn) 110,780.9
ADT (USD mn) 746.7

Relative performance chart



Source: LSEG, Nomura

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Key data on Xiaomi Corporation

Performance

(%)	1M	3M	12M		
Absolute (HKD)	-5.5	-18.6	-36.1	M cap (USDmn)	110,780.9
Absolute (USD)	-5.6	-18.9	-36.4	Free float (%)	15.2
Rel to Hang Seng Index	-4.9	-20.6	-52.2	3-mth ADT (USDmn)	746.7

Income statement (CNYmn)

Year-end 31 Dec	FY23	FY24	FY25F	FY26F	FY27F
Revenue	270,970	365,906	460,403	518,695	640,611
Cost of goods sold	-213,494	-289,346	-357,054	-408,453	-499,982
Gross profit	57,476	76,560	103,350	110,242	140,629
SG&A	-40,107	-51,322	-65,897	-73,050	-87,658
Employee share expense	-3,344	-3,719	-5,136	-5,273	-6,512
Operating profit	14,025	21,519	32,317	31,919	46,460
EBITDA	18,862	27,837	40,606	42,428	59,210
Depreciation	-2,402	-3,626	-5,174	-6,918	-8,572
Amortisation	-2,434	-2,692	-3,115	-3,591	-4,179
EBIT	14,025	21,519	32,317	31,919	46,460
Net interest expense	2,002	3,624	854	854	854
Associates & JCEs	46	277	201	0	0
Other income	5,938	2,707	24,247	20,000	20,000
Earnings before tax	22,011	28,127	57,619	52,773	67,314
Income tax	-4,537	-4,548	-10,070	-8,971	-11,443
Net profit after tax	17,474	23,578	47,550	43,802	55,870
Minority interests	1	80	91	91	91
Other items					
Preferred dividends					
Normalised NPAT	17,475	23,658	47,641	43,893	55,962
Extraordinary items					
Reported NPAT	17,475	23,658	47,641	43,893	55,962
Dividends					
Transfer to reserves	17,475	23,658	47,641	43,893	55,962

Valuations and ratios

Reported P/E (x)	41.7	31.0	16.2	17.6	13.8
Normalised P/E (x)	41.7	31.0	16.2	17.6	13.8
FD normalised P/E (x)	41.7	31.0	16.2	17.6	13.8
Dividend yield (%)	-	-	-	-	-
Price/cashflow (x)	17.6	18.7	16.3	-	5.9
Price/book (x)	4.4	3.8	3.2	2.7	2.2
EV/EBITDA (x)	39.5	26.7	17.6	17.4	10.6
EV/EBIT (x)	53.1	34.4	22.1	23.2	13.5
Gross margin (%)	21.2	20.9	22.4	21.3	22.0
EBITDA margin (%)	7.0	7.6	8.8	8.2	9.2
EBIT margin (%)	5.2	5.9	7.0	6.2	7.3
Net margin (%)	6.4	6.5	10.3	8.5	8.7
Effective tax rate (%)	20.6	16.2	17.5	17.0	17.0
Dividend payout (%)	0.0	0.0	0.0	0.0	0.0
ROE (%)	11.4	13.4	22.4	17.0	18.2
ROA (pretax %)	5.2	6.6	8.7	7.9	10.5

Growth (%)

Revenue	-3.3	35.0	25.8	12.7	23.5
EBITDA	113.9	47.6	45.9	4.5	39.6
Normalised EPS	605.6	34.4	91.3	-7.9	27.5
Normalised FDEPS	605.6	34.4	91.3	-7.9	27.5

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY23	FY24	FY25F	FY26F	FY27F
EBITDA	18,862	27,837	40,606	42,428	59,210
Change in working capital	164	34,155	8,952	-74,837	61,631
Other operating cashflow	22,275	-22,697	-2,125	29,240	9,411
Cashflow from operations	41,300	39,295	47,433	-3,169	130,252
Capital expenditure	-7,662	-10,480	-13,187	-14,856	-14,093
Free cashflow	33,638	28,815	34,246	-18,026	116,158
Reduction in investments	-14,060	-9,269	0	0	0
Net acquisitions					
Dec in other LT assets	15,910	-29,869	0	0	0
Inc in other LT liabilities					
Adjustments	-29,357	14,232	-2,788	-3,141	-3,880
CF after investing acts	6,131	3,909	31,458	-21,167	112,279
Cash dividends	0	0	0	0	0
Equity issue	0	0	0	0	0
Debt issue	4,213	2,746	0	0	0
Convertible debt issue					
Others	-4,321	-6,625	0	0	0
CF from financial acts	-107	-3,879	0	0	0
Net cashflow	6,024	30	31,458	-21,167	112,279
Beginning cash	27,607	33,631	33,661	65,120	43,953
Ending cash	33,631	33,661	65,120	43,953	156,231
Ending net debt	-5,774	-3,058	-34,517	-13,350	-125,628

Balance sheet (CNYmn)

As at 31 Dec	FY23	FY24	FY25F	FY26F	FY27F
Cash & equivalents	33,631	33,661	65,120	43,953	156,231
Marketable securities	20,696	28,824	28,824	28,824	28,824
Accounts receivable	12,151	14,589	28,298	20,019	39,655
Inventories	44,423	62,510	41,183	77,437	67,763
Other current assets	88,151	86,125	98,695	108,074	121,387
Total current assets	199,053	225,709	262,119	278,306	413,860
LT investments	67,122	68,263	68,263	68,263	68,263
Fixed assets	13,721	18,088	26,100	34,039	39,561
Goodwill	282	282	282	282	282
Other intangible assets	8,347	7,871	7,544	7,095	6,795
Other LT assets	35,723	82,943	82,943	82,943	82,943
Total assets	324,247	403,155	447,252	470,928	611,705
Short-term debt	6,183	13,327	13,327	13,327	13,327
Accounts payable	62,099	98,281	95,715	65,429	129,085
Other current liabilities	47,306	63,777	80,248	73,051	94,300
Total current liabilities	115,588	175,385	189,290	151,806	236,712
Long-term debt	21,674	17,276	17,276	17,276	17,276
Convertible debt					
Other LT liabilities	22,724	21,289	3,932	21,289	21,289
Total liabilities	159,986	213,950	210,497	190,372	275,278
Minority interest	266	467	467	467	467
Preferred stock					
Common stock	0	0	0	0	0
Retained earnings	163,995	188,737	236,287	280,089	335,959
Proposed dividends					
Other equity and reserves					
Total shareholders' equity	163,995	188,738	236,287	280,089	335,960
Total equity & liabilities	324,247	403,155	447,252	470,928	611,705

Liquidity (x)

Current ratio	1.72	1.29	1.38	1.83	1.75
Interest cover	-	-	-	-	-

Leverage

Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash

Per share

Reported EPS (CNY)	69.00c	92.77c	1.77	1.63	2.08
Norm EPS (CNY)	69.00c	92.77c	1.77	1.63	2.08
FD norm EPS (CNY)	69.00c	92.77c	1.77	1.63	2.08
BVPS (CNY)	6.59	7.60	9.12	10.81	12.97
DPS (CNY)	0.00	0.00	0.00	0.00	0.00

Activity (days)

Days receivable	16.2	13.4	17.0	17.0	17.0
Days inventory	81.3	67.6	53.0	53.0	53.0
Days payable	98.7	101.4	99.2	72.0	71.0
Cash cycle	-1.3	-20.4	-29.2	-2.0	-1.0

Source: Company data, Nomura estimates

Company profile

Xiaomi is a Chinese designer and manufacturer of consumer electronics and related software, home appliances, and IoTs. It is the third largest manufacturer of smartphones in the world in since 2021, according to management.

Valuation Methodology

Our TP of HKD33 is based on SoTP methodology. Benchmark index for this stock is the Hang Seng Index.

Risks that may impede the achievement of the target price

Upside/Downside risks to our projections include: 1) faster/slower-than-expected expansion of smartphone business; 2) success/failure in growing smart TV/IoT products shipments; 3) faster/slower-than-expected internet sales growth, or MAU growth for hardware users, and; 4) faster/slower-than-expected expansion of EV business.

ESG

Xiaomi published ESG report annually, and we do not see any issue. Xiaomi has been officially removed from US Pentagon's blacklist that previously have restricted American investment in Xiaomi.

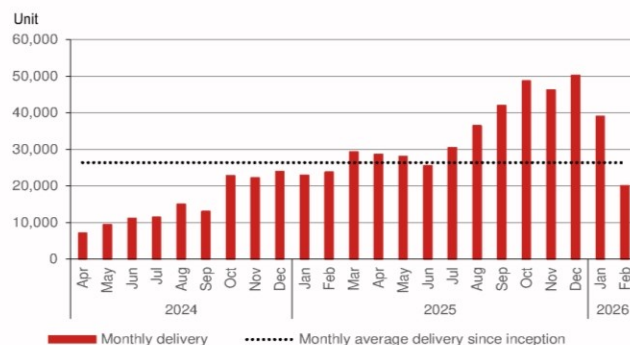
Fig. 1: Xiaomi's EV cost structure

Items	YU7	SU7
Materials (bill of materials)	85%	86%
Battery, motor, and electronic control system	41%	51%
Body & Chassis	16%	17%
Intelligent connectivity	15%	16%
Interior & Exterior Trim	14%	16%
In-house parts / Manufacturing cost	7%	7%
R&D / tooling & molds	7%	6%
Logistics	1%	1%
Total cost	100%	100%

Source: Nomura estimates

Note: The cost structure is based on our estimates for specific model, and there may be deviations in the cost structure across different models.

Fig. 2: Xiaomi's EV monthly shipment



Source: Nomura estimates, company data

Earnings forecasts

We factor in Xiaomi's strong 2H24 and 1Q25 results, and introduce our 2H25-2027F forecasts. We expect Xiaomi's sales and earnings growth to moderate h-h in 2H25F, mainly due to the slow down of the core business (SP + IoT). The EV business is likely to maintain robust growth in 2025-27F.

Fig. 3: Xiaomi's P&L

(CNY mn)	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25F	4Q25F	2024	2025F	2026F	2027F
Net Sales	75,507	88,888	92,507	109,005	111,293	115,956	113,121	120,033	365,906	460,403	518,695	640,611
Cost of Goods Sold	58,677	70,494	73,625	86,550	85,887	89,855	87,185	94,127	289,346	357,054	408,453	499,982
Gross Profit	16,830	18,394	18,881	22,455	25,406	26,101	25,936	25,907	76,560	103,350	110,242	140,629
Operating Expenses	13,147	12,505	12,840	13,565	12,281	12,664	10,826	10,814	52,057	46,585	58,323	74,170
Operating Income	3,683	5,889	6,041	8,890	13,125	13,437	15,110	15,093	24,503	56,765	51,919	66,460
Pre-Tax Income	5,222	6,679	6,817	9,408	13,168	14,403	14,956	15,093	28,127	57,619	52,773	67,314
Net Income	4,182	5,098	5,352	9,026	10,924	11,904	12,271	12,541	23,658	47,641	43,893	55,962
Adjusted Net Income	6,500	6,204	6,264	8,347	10,707	10,862	11,325	12,369	28,558	41,259	37,648	50,956
EPS - Diluted	0.16	0.20	0.21	0.35	0.42	0.44	0.46	0.47	0.93	1.77	1.63	2.08
Adjusted EPS - Diluted	0.26	0.24	0.25	0.33	0.41	0.41	0.42	0.46	1.12	1.54	1.40	1.90
Profitability												
Gross Margin	22.3%	20.7%	20.4%	20.6%	22.8%	22.5%	22.9%	21.6%	20.9%	22.4%	21.3%	22.0%
Operating Margin	5%	7%	7%	8%	12%	12%	13%	13%	6.7%	12.3%	10.0%	10.4%
Profit Margin	6%	6%	6%	8%	10%	10%	11%	10%	6.5%	10.3%	8.5%	8.7%
QoQ												
Net Sales	3%	18%	4%	18%	2%	4%	-2%	6%				
Gross Profit	8%	9%	3%	19%	13%	3%	-1%	0%				
Operating Expenses	25%	-5%	3%	6%	-9%	3%	-15%	0%				
Operating Income	-27%	60%	3%	47%	48%	2%	12%	0%				
Net Income	-12%	22%	5%	69%	21%	9%	3%	2%				
Adjusted Net Income	32%	-5%	1%	33%	28%	1%	4%	9%				
EPS - Diluted	-12%	22%	5%	68%	19%	6%	3%	2%				
Adjusted EPS - Diluted	31%	-4%	1%	33%	26%	-2%	4%	9%				
YoY												
Net Sales	27%	32%	30%	49%	47%	30%	22%	10%	35%	26%	13%	24%
Gross Profit	45%	30%	17%	44%	51%	42%	37%	15%	33%	35%	7%	28%
Operating Expenses	131%	24%	16%	28%	-7%	1%	-16%	-20%	39%	-11%	25%	27%
Operating Income	-38%	46%	21%	76%	256%	128%	150%	70%	22%	132%	-9%	28%
Net Income	-1%	39%	10%	91%	161%	134%	129%	39%	35%	101%	-8%	27%
Adjusted Net Income	102%	21%	4%	70%	65%	75%	81%	48%	51%	44%	-9%	35%
EPS - Diluted	-3%	34%	9%	90%	156%	122%	117%	32%	34%	91%	-8%	27%
Adjusted EPS - Diluted	96%	16%	4%	69%	61%	66%	71%	41%	50%	37%	-9%	35%

Source: Company data, Nomura estimates

Valuation methodology and risks

We maintain Neutral on Xiaomi but lower our TP to HKD33, based on SoTP method (our assumptions of EV/Sales for the hardware business at around 0.3-0.8x in 2026-27F, down from earlier 1.6x; EV/gross profit for the internet business remains at around 6-7x; EV/Sales for the EV business at 1-1.5x, down from earlier 1-3x. This is based on Xiaomi's

historical valuation back in 2022-23, when the SP market was turning into a two year downcycle due to weak macroeconomic in China

Upside/Downside risks to our projections include: 1) faster/slower-than-expected expansion of smartphone business; 2) success/failure in growing smart TV/IoT products shipments; 3) faster/slower-than-expected internet sales growth, or MAU growth for hardware users, and 4) faster/slower-than-expected expansion of EV business.

Fig. 4: Xiaomi: SoTP methodology

Segment financial								
(CNY mn)	2021	2022	2023	2024	2025F	2026F	2027F	
Sales	328,309	280,091	270,970	365,906	460,403	518,695	640,611	
Smartphone	208,869	167,264	157,461	191,759	186,512	165,566	179,559	
YoY	37%	-20%	-6%	22%	-3%	-11%	8%	
Global unit shipment (mn)	190	151	146	169	165	138	143	
China unit shipment (mn)	51	39	36	42	44	39	41	
IoT	84,980	79,795	80,108	104,104	124,940	134,048	144,974	
YoY	26%	-6%	0%	30%	20%	7%	8%	
Global TV unit shipment (mn)	13	12	11	11	10	10	10	
Internet	28,212	28,321	30,107	34,115	37,298	39,802	42,010	
YoY	19%	0%	6%	13%	9%	7%	6%	
EV				32,754	107,195	174,821	269,610	
YoY					227%	63%	54%	
Global unit shipment (k)				135	412	630	954	
Others	6,248	4,711	3,294	3,174	4,458	4,458	4,458	
YoY	149%	-25%	-30%	-4%	40%	0%	0%	
Gross profit	58,261	47,577	57,476	76,560	103,350	110,242	140,629	
Smartphone	24,861	14,969	22,981	24,254	20,594	14,896	17,956	
IoT	11,092	11,498	13,079	21,092	28,810	25,185	28,734	
Internet	20,896	20,347	22,334	26,147	28,659	30,613	32,286	
EV				6,050	26,512	40,773	62,880	
Others	1,413	763	(917)	(983)	(1,225)	(1,225)	(1,225)	
Valuation								
(CNY mn except for per share data)	2021	2022	2023	2024	2025F	2026F	2027F	Average in 2026-27F
Hardware								
Sales	300,097	251,770	240,863	299,037	315,911	304,072	328,991	
Gross profit	37,366	27,230	35,142	44,363	48,179	38,856	45,464	
EV / Sales	2.0	0.3	0.8	1.6	2.0	0.3	0.8	
EV based on EV / Sales	600,195	75,531	192,690	478,460	631,822	91,222	263,193	177,207
Internet								
Sales	28,212	28,321	30,107	34,115	37,298	39,802	42,010	
Gross profit	20,896	20,347	22,334	26,147	28,659	30,613	32,286	
EV / GP	10	6	7	7	10	6	7	
EV based on EV / GP	208,956	122,083	165,271	193,486	286,591	183,679	226,000	204,839
EV								
Sales				32,754	107,195	174,821	269,610	222,216
Gross profit				6,050	26,512	40,773	62,880	51,827
EV / Sales				2.3	4.5	1.0	1.5	1.3
EV based on EV / Sales				75,333	482,377	174,821	404,415	277,769
EV adjustment (CNY mn)								
Less: Total Debt	26,247	23,644	27,857	30,603	30,603	30,603	30,603	30,603
Less: Preferred Securities	-	-	-	-	-	-	-	-
Less: Noncontrolling Interest	220	265	266	467	467	467	467	467
Plus: Cash and Cash Equivalents	23,512	27,607	33,631	33,661	65,120	43,953	156,231	156,231
Target price (HKD)								
Based on EV / Sales for hardware & EV and EV / GP for internet	35	9	16	33	60	19	42	33

Source: Company data, Nomura estimates

Appendix A-1

This report has been produced by Nomura International (Hong Kong) Ltd. (NIHK), Hong Kong.

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Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Xiaomi Corporation	1810 HK	HKD 33.14	02-Mar-2026	Neutral	N/A	A1,A2,A3,A10,A35

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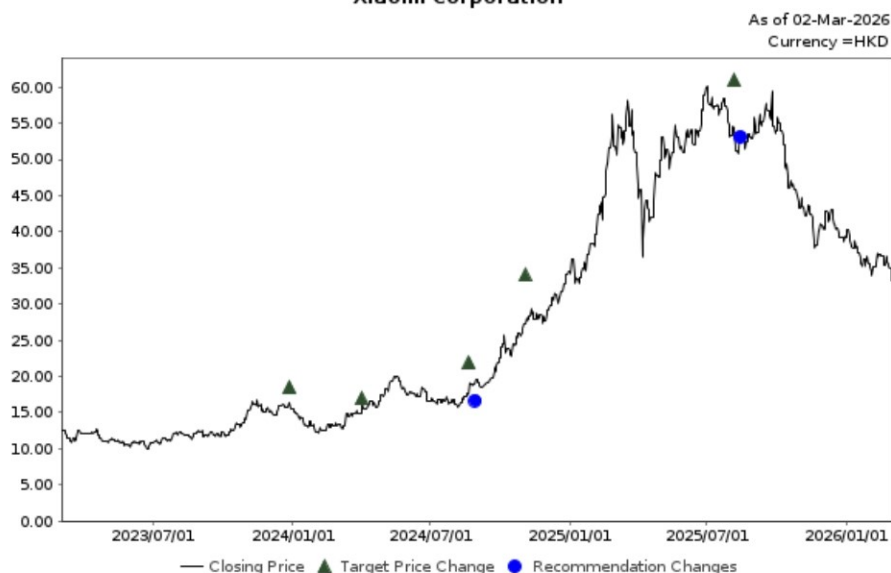
A35 The Nomura Group beneficially owns 1% or more financial interest in the subject company.

Xiaomi Corporation (1810 HK)

HKD 33.14 (02-Mar-2026) Neutral (Sector rating: N/A)

Rating and target price chart (three year history)

Xiaomi Corporation



Date	Rating	Target price	Closing price
06-Aug-25	Neutral		54.00
06-Aug-25		61.00	54.00
03-Nov-24		34.00	27.30
21-Aug-24	Buy		17.52
21-Aug-24		22.00	17.52
01-Apr-24		17.00	14.94
28-Dec-23		18.60	16.28

Source: LSEG, Nomura

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of HKD33 is based on SoTP methodology. Benchmark index for this stock is the Hang Seng Index.

Risks that may impede the achievement of the target price Upside/Downside risks to our projections include: 1) faster/slower-than-expected expansion of smartphone business; 2) success/failure in growing smart TV/IoT products shipments; 3) faster/slower-than-expected internet sales growth, or MAU growth for hardware users, and; 4) faster/slower-than-expected expansion of EV business.

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As at 31 December 2025.

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